

2014 P T D 841

[Lahore High Court]

Before Abid Aziz Sheikh, J

**Messrs MAGNA PROCESSING INDUSTRIES (PVT.) LTD., FAISALABAD through
Chief Executive---Petitioner**

Versus

FEDERATION OF PAKISTAN through Secretary and others---Respondents

Writ Petition No.1461 of 2014, decided on 21st January, 2014.

Sales Tax Act (VII of 1990)---

---S. 46(1)---Constitution of Pakistan, Art. 199---Constitutional petition---Recovery of sales tax on electricity bills---Stay against disconnection of electricity connection till disposal of appeal by Appellate forum---Scope---Petitioner-company filed application before Commissioner Inland Revenue for zero-rating of sales tax facility on electricity bill, however same was rejected on basis of certain alleged discrepancies regarding supplies made by petitioner-company in violation of S.R.O.---Said discrepancies were communicated to petitioner-company and it was ordered to pay its outstanding sales tax on electricity bill---Petitioner-company filed appeal against order of Commissioner Inland Revenue before Appellate Tribunal Inland Revenue---During pendency of said appeal, concerned Electric Supply Company threatened to disconnect electricity connection of petitioner-company---Pleas on behalf of petitioner-company were that Electric Supply Company was threatening to disconnect its electricity connection during pendency of appeal before the Appellate Tribunal; that it was settled law that unless appeal was decided by atleast one independent forum, coercive measures for recovery of disputed amount could not be made---Validity---Pleas raised by petitioner-company was tenable---High Court directed that Appellate Tribunal should decide the appeal of petitioner-company within a period of 30 days, and till decision of the appeal, electric supply company should not disconnect electricity connection of petitioner-company---Constitutional petition was disposed of accordingly.

Sun-Rise Bottling Co. (Pvt.) Ltd. through Chief Executive v. Federation of Pakistan and 4 others GST 2003 CL 283 and Messrs Z.N. Exports (Pvt.) Ltd. v. The Collector of Sales Tax 2006 PTD 535 ref.

Khubaib Ahmad for Petitioner.

ORDER

ABID AZIZ SHEIKH, J.---Learned counsel for the petitioner contends that against the impugned recovery, the petitioner's appeal is pending before the Appellate Tribunal Inland Revenue, however, during the pendency of the appeal, the respondent No.5 is threatening the

petitioner for disconnection of his electricity connection. Submits that it is settled law that unless the appeal is decided atleast by one independent forum, coercive measures for the recovery of disputed amount cannot be made. Reliance is placed on Sun-Rise Bottling Co. (Pvt.) Ltd. through Chief Executive v. Federation of Pakistan and 4 others (GST 2003 CL 283) and Messrs Z.N. Exports (Pvt.) Ltd. v. The Collector of Sales Tax (2006 PTD 535).

2. The contention raised is tenable. It is accordingly directed that the respondent No.3 (Appellate Tribunal Inland Revenue) shall decide the appeal of the petitioner within a period of 30 days from today. However, till the decision of the appeal, the respondent No.5 will not disconnect the electricity connection of the petitioner.

3. Disposed of.

MWA/M-11/L Order accordingly.